In the cases of many companies, it is seen that even though the company is generating cash, the cash flow from investment is relatively high. Thus, the company constantly takes up cash from CFF by equity dilution or by means of debt. This swells up the CFI, which needs to be filled up by the cash flow from financing.

It is important that the CFO, CFI, and CFF are in line with one another. If the business is making a loss, then the company needs to sell assets or take up a loan or dilute equity to pay the loss in CFO. If any component of cash flow statement takes up cash, other components of cash flow statements need to fill the same. Our aim is to analyze the movement of the company's cash.

We see that the company is generating good CFO that is consumed in investing in additional assets and in financing activities. ***The company has not issued debt or equity in the period that we are analyzing.***

With this, we have seen the performance of every component in the cash flow statement. This helps us gain an insight into the working of the company. Our analysis shows that the company's cash flow statements seem healthy. It is important that we do this on a large number of companies. That will help us differentiate between healthy companies and poorly performing companies.

In the next chapter, we will begin with analysis relating to items on the balance sheet.